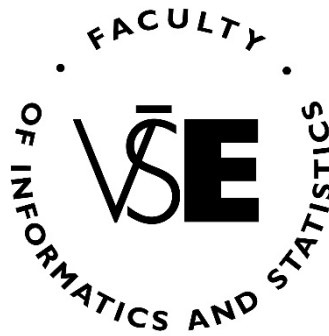


Prague University of Economics and Business

Faculty of Informatics and Statistics



CONCEPT AND MARKETING STRATEGY FOR A NEW STARBUCKS BRAND PRODUCT

BACHELOR THESIS

Study programme: Multimedia in economic practice

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Prohlášení

Prohlašuji, že jsem bakalářskou práci Concept and marketing strategy for a new Starbucks brand product vypracovala samostatně za použití v práci uvedených pramenů a literatury.

V Praze dne 6. května 2024

Mariia Kadesnikova

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Abstract

In the modern world, to maintain competitiveness, companies are forced to constantly introduce innovations to the market, including creating new products. The main goal of this thesis is to create a concept for a new Starbucks product and a marketing strategy for its eventual release. The author uses various methodologies, including literature research, analysis, observation, and a quantitative questionnaire.

Based on literature research, the theoretical part covers the basic definition of marketing, including international marketing, new product development process, and marketing strategy theory.

In the practical part, the thesis provides an overview of the Starbucks company and brand and delves into the author's observation - personal experiences working with the company. The primary focus lies in formulating and testing the idea of a new product, specifically a line of coffee drinks named "Taste of the Place," tailored to reflect local cultural differences and coffee traditions. The concept's viability is evaluated by conducting theory-based analysis and market research. They showed that the concept is unique and can help stand out from the competition. Then, to test the concept, the author conducted a quantitative questionnaire among Starbucks visitors, including regular customers, residents of the Czech Republic, and tourists from different countries. The survey results show promising interest among respondents.

Subsequently, a comprehensive marketing strategy was developed, starting with a market analysis that confirmed the product's potential. Next, the product's target audience, positioning, and marketing goals were determined. Alongside the marketing strategy, a marketing mix was formulated.

Keywords

marketing, marketing strategy, Starbucks.

JEL Classification

M31

Abstrakt

V moderní době jsou společnosti nuceny neustále přinášet inovace na trh, včetně vytváření nových produktů, aby zůstaly konkurenceschopné. Hlavním cílem této práce je vytvořit koncept nového produktu pro společnost Starbucks a marketingovou strategii pro jeho případné uvedení na trh.

Teoretická část je vytvořena na základě literárního výzkumu a pokrývá základní definici marketingu, včetně mezinárodního marketingu, procesu vývoje nových produktů a teorie marketingové strategie.

Praktická část práce obsahuje přehled o společnosti Starbucks a její značce a uvádí výsledky pozorování autora získané z osobních zkušeností během práce ve společnosti. Hlavní důraz je kladen na formulaci a testování konceptu nového produktu, konkrétně řady kávových nápojů s názvem "Taste of the Place", které mají odrážet místní kulturní rozdíly a kávové tradice různých míst. Životaschopnost konceptu je vyhodnocena prostřednictvím analýzy založené na výzkumu trhu a marketingové teorii, které ukázaly, že koncept má potenciál. Poté autor provádí průzkum mezi návštěvníky Starbucks, včetně pravidelných zákazníků, obyvatel České republiky a turistů z různých zemí. Výsledky průzkumu ukazují slibný zájem respondentů o navržený koncept. Následně byla vypracována marketingová strategie, začínající analýzou trhu, která potvrdila potenciál produktu. Poté byla stanovena cílová skupina produktu, jeho positioning a marketingové cíle. Společně s marketingovou strategií byl vytvořen marketingový mix pro případné uvedení produktu na trh.

Klíčová slova

marketing, marketingová strategie, Starbucks.

JEL Classification

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Introduction

Defining the topic

With the market constantly evolving and consumer tastes changing, companies face the challenge of market saturation and growing competition. In such a context, creating new products becomes critical to differentiate from competitors and maintain competitiveness. This is where the relevance of the research manifests itself in the search for exciting and authentic ideas and solutions in developing new products that can effectively satisfy changing consumer demands.

To successfully introduce and promote a new product in the target market, it is necessary to develop a high-quality strategy that considers not only the requirements and preferences of consumers but also the characteristics of the competitive environment. Such a strategy should include market and consumer analysis, as well as identifying unique product features that can attract the attention and interest of the target audience.

Reason for choosing the topic

The author chose this topic for the bachelor's work because she has worked at Starbucks for three years as a barista. The author delved into the company's culture not only in the field of coffee culture but also in the processes of corporate culture, customer service, and marketing. Based on her observations, the author came up with a new product concept for Starbucks while working. Having studied marketing in general and having deep knowledge of the specifics of the company's work, the author decided to devote her bachelor's work to this topic, supplementing it with developing a marketing strategy. This idea was supported by Michal Holotik, Brand Manager of Starbucks for Czech and Slovak Republics, agreeing to provide additional data for analysis and verification of the correspondence of the author's ideas with the current strategy of the company, as well as the necessary statistical data.

Goals of the thesis

The main goal of this thesis is to create a concept for a new Starbucks product and a marketing strategy for its eventual release. Based on the fact that the main goal consists of two parts, the following subgoals were identified for its implementation:

- A. Study the theory of creating a new product and forming a marketing strategy.
- B. Analyze the Starbucks company and brand and study their products and merchandise line.
- C. Develop a new product concept and conduct testing among the target audience.
- D. Create a marketing strategy to bring the product to market.

The developed strategy and concept must correspond to all the current goals of the company and the strategy used in the international market to confirm the relevance of the goal implemented by the author in this work.

The method of achieving goals and the structure of bachelor's work

The bachelor thesis begins with marketing theory and marketing strategy, which is based on literature research. This part will also present the theory of the new product development process.

The next part of the thesis will be devoted to presenting the company and the Starbucks brand through personal experience. The author also uses the observation method as an employee of the company and further data analysis to analyze the popularity of Starbucks City Mug products presented on the market.

In terms of creating the concept for a new product, based on the previously presented theory, the author of the thesis will formulate an idea and conduct the idea screening, which includes a partial analysis of the company's products and competition analysis. A whole concept will be formulated in the concept development and testing part. The concept testing will be carried out using a quantitative questionnaire.

The last part of the thesis is to create a marketing strategy for a new product concept based on market analysis and data obtained in earlier parts of the thesis. Finally, a marketing mix for the new product will be developed.

1 Theory of marketing and marketing strategy

This chapter is devoted to the theoretical part of the work. Educational literature and scientific articles were used to write this part of the bachelor's thesis. The chapter is divided into three parts. The first part of the chapter covers the basic definition of marketing, including international marketing. The second chapter also pays special attention to the process of developing a new product. The third part is devoted to developing a marketing strategy.

1.1 Marketing

Marketing as a science is constantly evolving and transforming. During its historical development, marketing was constantly influenced by various factors: economic, political, social, and many others. Thus, many definitions of marketing and other terms closely related to this science have been formed. In this thesis, the author examines some of them. In addition, the author covers the basics of the international marketing theory. In the modern world, which is oversaturated with advertising, a deeper, more comprehensive approach is required to implement marketing activities successfully.

1.1.1 Definition of marketing

As mentioned earlier, there are many variations of marketing definition, which are complemented and expanded in the process of changes in marketing as science itself and the influence of external factors on it.

The simplest definition of marketing is attracting customers and managing a profitable relationship with them (Armstrong et al., 2017).

Kotler (2003, introduction) defines marketing management as an art and science, the purpose of which is not only the correct selection of target markets for the sale of a new product or service but also close work with the client, namely attracting, retaining, and growing, the number of clients by providing them superior customer value.

However, Kotler (2003) further expands his definition by adding that before selecting a target market, marketing, as a business function, helps identify the unmet needs and desires of consumers. Furthermore, the author of the statement underscores that marketing involves more than just transactional activities, sales, or service provision. Instead, it encourages all members of the organization to prioritize customer-centric thinking and service.

In the modern world, marketing continues after satisfying all the client's needs and interacting with him even after consuming the product or service. In a broader definition, marketing is attracting customers, building solid relationships with them, and creating value with the primary goal of obtaining value from customers in the form of long-term customer equity (Armstrong et al., 2017).

It can be noted that the definitions of marketing have not changed completely. They are only supplemented over time, covering more and more points of interaction between marketers and consumers. Nowadays, an additional goal of marketing is not only to predict and anticipate the desires and needs of consumers but also to increase the customer life cycle.

1.1.2 International marketing

International marketing is a system for managing the development, production, and sale of goods or services, focused on accounting and analyzing market processes (Machková & Machek, 2021). Its main goal is to satisfy customer needs and achieve company goals.

There are three main concepts of international marketing: export marketing, global marketing, and intercultural (Machková & Machek, 2021). A unique feature of the export concept is adapting the marketing strategy and commercial offer to the foreign market. The global concept assumes that due to homogenization and globalization, the exact product of average quality can satisfy similar consumers. The last concept is intercultural marketing, which considers the socio-cultural characteristics of the market.

1.2 New-product development

To maintain a competitive edge, businesses must continually develop and innovate products. With each passing year, this task becomes increasingly challenging due to the rapid evolution of the competitive landscape and the ever-changing demands of consumers.

To introduce new products, companies have the option to acquire patents or licenses for innovations developed by other firms. Alternatively, they can explore opportunities to expand their product lines by acquiring other companies. Another way is to develop a new product. This definition includes not only an original new product but also an improvement or modification of an existing product. However, a unique idea still plays a critical role in the development of new products.

The new product development process consists of seven stages, presented in this infographic: idea generation, idea screening, concept development and testing, marketing strategy development, business analysis, product development, test marketing, and communication (Armstrong et al., 2017).

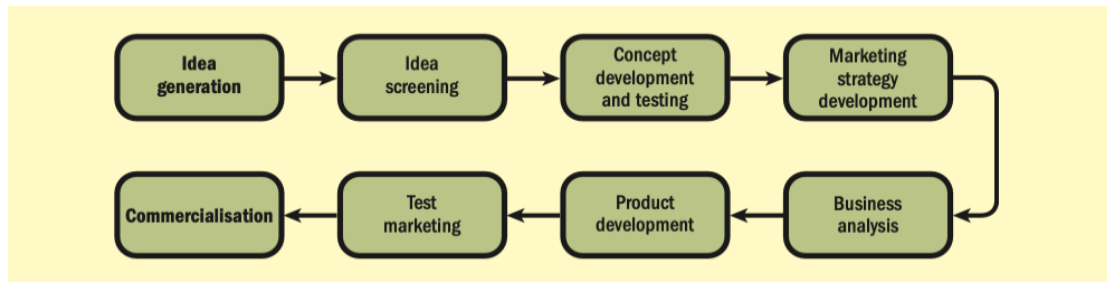


Figure 1 The main steps in the new product development process (source: Armstrong et al., 2017)

In this thesis, the author will focus on the first four steps, from creating an idea to marketing strategy development, because the author will not implement the creation of the product but only proposes its concept and marketing strategy.

1.2.1 Idea generation

The development of a new product always begins with generating an idea. The search for new ideas can be carried out in several ways: internal sources, external sources, and crowdsourcing (Armstrong et al., 2017).

Ideas for a new product can be gleaned from within the company, such as tapping into insights from employees like sales representatives who interact with customers on a daily basis.

When it comes to external sources of ideas for new products, the most popular starting point for new product ideas is the customers themselves (Kotler, 1984). Companies monitor customer needs and demands by conducting surveys and group discussions, as well as monitoring the feedback they receive. Another source is getting ideas from the company's distributors and suppliers. They have information about the needs and problems of customers and how these problems can be solved from a production point of view (Nilsson et al., 2002). In addition, firms regularly analyze competitors' products, identifying among them the most attractive to buyers (Armstrong et al., 2017). In a competitive environment, companies use data identified by competitors to prepare their offerings to the market promptly. There are also many external sources of ideas, such as inventors, investors, advertising agencies, marketing research firms, inventors, universities and commercial laboratories, and others (Kotler, 1984).

To generate ideas for new products, more and more companies are coming to a method such as crowdsourcing. Crowdsourcing is the involvement of actual and potential consumers, company employees, scientists, and researchers in the process of creating new products (Armstrong et al., 2017).

1.2.2 Idea screening

The second step in creating a new product is the idea screening. This entails analyzing all proposed concepts and eliminating unpromising ideas at the earliest stage of development (Armstrong et al., 2017).

A new-product screening framework called R-W-W ('real, win, worth it') consists of three sequential questions: Is it real? Can we win? Is it worth doing? (Day, 2007) The first question indicates whether the product is needed in the market and whether there is demand. The second question involves comparing the new product with products presented by competitors and determining the competitive advantage. The third question helps determine the value of the product, considering whether the new product will fit the overall company strategy and increase sales.

1.2.3 Concept development and testing

Kotler (1984) defines a product concept as a developed version of an idea expressed in terms that are meaningful to the consumer.

When developing a product concept, it is necessary to consider that the product must meet the consumer's current needs by the time it enters the market (Armstrong et al., 2017; Minin, 2017). This means it is necessary to forecast needs and analyze them in the interim.

Product concept testing involves customers questioning a new product idea. After testing, consumer reactions are studied, and the product's compliance with the needs of the selected consumer segment is determined (Minin, 2017).

1.2.4 Marketing strategy development

After formulating the concept of a new product, the next step is to create a marketing strategy. This subsection is devoted to the theory of marketing strategy development.

1.2.4.1 Market Analysis

Before creating a marketing strategy for a new product, it is necessary to conduct a market analysis by describing the market environment and competitor landscape. Forecasts about the possible success of a new product on the market are often based on an analysis of sales of similar products. However, it is worth remembering that such forecasts are usually only approximate.

1.2.4.2 Customer-driven marketing strategy

The next stage of creating a new product is developing a marketing strategy. Marketing strategy aims to create value for customers and establish profitable relationships with them, designed to achieve the company's goals (Kotler, 2007).

STP marketing technique include segmentation, targeting, and positioning (Armstrong et al., 2017). This is a marketing strategy through which the company aims to generate customer value and establish profitable relationships.

Segmentation: At this stage, the market is analyzed into groups of similar consumers, considering various characteristics such as age, gender, income, interests and behavior. The

goal is to identify similar groups of consumers who may consume the company's products or services differently (Armstrong et al., 2017).

Targeting: After segmentation, the company selects one or more segments that are most suitable for its offering. This determines the target audience, considering their potential profitability and the effectiveness of marketing efforts (Armstrong et al., 2017).

Positioning: At this stage, the image the company wants to create for its product or service in the selected market segment is determined (Armstrong et al., 2017). This involves creating a unique image for the product that sets it apart from competitors and makes it attractive to the target audience.

This method helps companies better understand their consumers and effectively promote their products and services in the market, increasing their competitiveness.

1.2.4.3 Segmentation Methods

To determine the target audience, it is necessary to conduct an analysis and define consumer segments. Consumer segmentation can be performed through various methods.

The author of the thesis examines two of the most popular methods: the method developed by Philip Kotler, a famous economist and marketer, and the method of Mark Sherrington, founder of the international marketing consulting company and the Added Value brand.

According to **Philip Kotler's method**, target audience analysis is conducted based on four criteria: demographic, geographical, psychographic, and behavioral (Kotler, 1984).

- Demographic: Study essential characteristics such as age, gender, education, occupation, income, and marital status.
- Geographical: Assessing the influence of location on consumer preferences, considering regional differences.
- Psychographic: Analysis of lifestyle, interests, values, and attitudes to help understand the psychological aspects of audience behavior.
- Behavioral: Analysis of how consumers interact with a product or service, their purchasing behavior, how they use the product, and how they respond to marketing strategies.

Sherrington Method 5W takes its name from the first letters of the five questions that need to be answered before identifying the target audience (Sherrington, 2014).

By systematically addressing What, Why, Where, When, and Who, marketers can gain deeper insights into their audience's needs, behaviors, and preferences, thus enabling more targeted and effective marketing strategies.

Table 1 Sherrington Method 5W (source: Sherrington, 2014, author's processing)

5W	Criteria for segmentation	Acquired information
What?	The product or service type	Types of the products or services customers are interested in.
Who?	The consumer type	Customer characteristics: their gender, age, and income.
Why?	Type of motivation	The needs that the product satisfies and what problems it solves.
When?	Purchase condition	Under what circumstances customers make purchases of the product.
Where?	Place of purchase	Where does the target audience interact with the brand, through what channels can you influence their purchasing decision.

Both methods will help determine the target audience and the main conditions for the sale: place and purchase condition.

Speaking about international market segmentation, global corporations utilize **intermarket segmentation** to categorize their consumers, aiming to identify groups with similar needs and purchasing behaviors across different regions worldwide (Armstrong et al., 2017). This method disregards geographical boundaries, focusing solely on aligning products and marketing strategies with consumers' shared preferences and behaviors.

1.2.4.4 Targeting

The next phase in marketing strategy development is targeting. Once different segments have been identified, it becomes possible to determine which segment best fits the company's products and values. A target market is a group of buyers who share similar needs or characteristics that the company chooses to serve (Armstrong et al., 2017). Effective targeting significantly boosts the chances of reaching potential customers successfully. By selecting the appropriate audience segments to focus on, companies can better reach potential customers and persuade them to purchase the product or service.

1.2.4.5 Positioning

Positioning is the last and most important stage of a marketing strategy. Product positioning is how the consumer sees the product. This includes both emotional and sensory perception

of the product in comparison with products presented by competing companies (Armstrong et al., 2017). Positioning includes the formulation of a Unique Selling Proposition.

1.2.4.6 Setting marketing goals

Goal setting is one of the most essential stages in any process. Since the chosen implementation methods, plan, and timing depend on the chosen goal.

In 1981, George Doran (1981, p. 35-36) published “There’s a S.M.A.R.T. way to write management’s goals and objectives” in the magazine *Management Review*. He presented his method for complex goal setting for the first time. Nowadays **SMART method** is one of the most popular goal-setting methods. This method is suitable for managing organizations, departments, and projects and setting personal goals. It is believed that using the SMART approach ensures the achievement of goals due to the precise definition of each of its parameters. Goals set according to SMART are achievable, measurable, specific and time-bound.

PACT method was developed by Anne-Laure Le Cunff. It's a goal-setting approach, which means purposeful, active, continuous, and traceable (Cunff, 2019). Unlike other methods that focus on results, PACT goals concentrate on productivity.

- Purposeful: The goal should have an apparent reason or foundation (Cunff, 2019). This means it should be based on values that inspire excitement and drive people to achieve the desired results.
- Actionable: The goal should involve acting now instead of overthinking the future (Cunff, 2019). While planning is essential, overthinking can make it hard to make decisions. PACT encourages trying things out to see what works best.
- Continuous: An excess of choices can hinder action. Instead of dedicating excessive time to research, it encourages experimentation, measurement, and advancement (Cunff, 2019).
- Trackable: Compared to the measurable criteria in SMART goal setting, tracking replaces measurement in the PACT method. Progress and effort are observed, fostering a sense of achievement (Cunff, 2019). This model is suitable for setting long-term and ambitious goals because it emphasizes purposeful planning, actionable steps, continuous progress, and trackable outcomes.

1.2.4.7 Marketing Mix

In the 1950s, a Harvard Business School professor named Neil Borden (1984) introduced the marketing mix concept. Several models are used to describe the marketing mix. The 4P model, developed by marketing professor Edmund Jerome McCarthy, is the most popular (Twin, 2024). The marketing mix is a marketing theory based on the four main pillars of marketing planning: product, price, place, and promotion. The extended version of the marketing mix includes top of that, people, processes, and physical evidence (Pelsmacker et al., 2021). Subsequently, the abbreviation 4P has been used for simplicity.

Product is a good or service a company offers its customers (Pelsmacker et al., 2021). This includes the process of development, design, and design of the product, as well as its quality, packaging, service provision, delivery, and more.

Price is the amount of money a buyer pays for a product (Pelsmacker et al., 2021). This includes developing a pricing strategy, choosing pricing methods, organizing discount and bonus schemes, establishing credit terms, determining the financial aspects of supplies, and other aspects.

Place covers points of sale, which today are usually called "distribution". This aspect affects all aspects related to the distribution of goods and their delivery from the place of production to the final consumer (Armstrong et al., 2017). This includes organizing distribution channels, developing retail and wholesale networks, training sales personnel, creating a sales system, transportation and storage conditions, inventory management, and warehouse logistics. The journey from producer to consumer, known as distribution, can take either a direct or indirect route, contingent upon the number of intermediaries involved (Kotler, 2007). In a direct distribution pathway, the manufacturer sells goods directly to customers, bypassing intermediaries and thereby granting the company complete control over product distribution. Conversely, in an indirect distribution route, goods traverse through intermediate links - intermediaries.

Promotion includes the company's communication policy, the task of which is to inform the buyer about the product's properties as well as to create and stimulate demand for it (Armstrong et al., 2017). This element of the marketing mix includes PR, sales promotion, personal selling, branding, direct marketing, sponsorship, and other tools. Simply put, it is everything that allows a company to communicate with its target audience: consumers, suppliers, partners, competitors, and employees.

A marketing mix is needed for an integrated approach to marketing activities. This approach helps to consider and analyze all the elements that affect a company's market success. It means using marketing tools to achieve a comprehensive effect and a multiple increase in sales.

2 Starbucks company and brand

Since the thesis goal is to develop a concept and marketing strategy for a new Starbucks product, it is necessary first to introduce the company to understand a brand's position in the market. This chapter provides an overview of Starbucks, tracing its evolution from a single store in Seattle to a global leader in the coffee industry (Starbucks Corporation, n.d.-a). It explores the company's history, values, and unique cafe culture focused on hospitality and personalized service.

As an employee of the company, the author of the thesis is personally familiar with the company's corporate culture. Therefore, this chapter contains information based on personal experience and observation of the company's internal and external activities over three years of work.

2.1 Starbucks company

This section is devoted to a brief history of the company and Starbucks' target audience determination.

2.1.1 Company overview

Founded in 1971 in Seattle, Washington, Starbucks has grown from a single store into a global coffee industry leader. Renowned for its commitment to high-quality, ethically sourced coffee beans, Starbucks has fostered sustainable practices while supporting coffee-growing communities worldwide (Starbucks Corporation, n.d.-a).

Starbucks is renowned for its high-quality, ethically sourced coffee beans and its commitment to sustainability. The company's dedication to supporting coffee producers underscores its core values. Exploring coffee cultures in regions like Ethiopia and Kenya offers Starbucks opportunities to diversify its product range beyond traditional markets.

Despite its established presence, Starbucks maintains a culture of innovation, regularly introducing new products to meet evolving consumer preferences. This commitment to expanding the coffee experience reflects Starbucks' desire to connect with a diverse global audience.

Utilizing intercultural marketing, Starbucks is trying to customize its products to suit a variety of socio-cultural contexts. For example, recognizing the prevalence of tea culture in India, Starbucks introduced "Teavana" beverages, seamlessly integrating local tastes with its global brand identity, thus widening its appeal. Similarly, in China, Starbucks adjusted its store aesthetics by incorporating traditional elements such as wooden lattice screens and calligraphy. These approaches underscore Starbucks' dedication to comprehending and

honoring socio-cultural intricacies, ultimately bolstering its brand resonance and rapport within diverse communities.

2.1.2 Starbucks Target Audience

The subsection describes Starbucks' target audience.

2.1.2.1 Target Audience by Philip Kotler's method

To analyze the target audience of Starbucks, the author uses demographic, geographical, psychographic, and behavioral criteria based on Philip Kotler's method.

Demographic (*Starbucks Corporation Report, 2022*)

- **Age:** Starbucks' target audience encompasses a broad age spectrum of 18-60, with a notable focus on young adults and middle-aged individuals. While college students and young professionals form a significant portion, Starbucks also appeals to older adults who appreciate quality coffee and a welcoming ambiance.
- **Gender:** Starbucks' clientele is relatively evenly distributed between genders, although slight variations may exist based on location and time of day.
- **Income:** The typical Starbucks customer possesses disposable income, as the brand's premium pricing attracts consumers willing to invest in superior coffee and a premium experience.
- **Education:** Starbucks attracts a well-educated demographic, including college students, young professionals, and individuals with advanced degrees.

Geographical

Starbucks maintains a robust presence in urban settings, particularly in major cities and commercial hubs. Starbucks is located in 80 countries, so the company's work is aimed at the international market.

Psychographic (*Starbucks Corporation Report, 2022*)

- **Lifestyle:** Starbucks' target audience leads a refined yet accessible lifestyle, valuing premium experiences while maintaining inclusivity. Furthermore, Starbucks patrons may have a penchant for travel, seeking out diverse coffee experiences and cultural encounters.
- **Interests:** Starbucks patrons exhibit interest in coffee culture, culinary trends, and social gatherings. They may also demonstrate curiosity in technology, travel, and wellness pursuits.
- **Views:** Starbucks customers adopt a global outlook, embracing diversity, multiculturalism, and open-mindedness.

Behavioral (*Starbucks Corporation Report, 2022*)

- **Shopping Habits:** Representatives of Starbucks' target audience visit coffee shops from once a week to once a year. They may also purchase Starbucks merchandise like mugs, tumblers, and coffee beans as gifts or collectibles.
- **Media Consumption:** Starbucks' target audience actively engages with the brand on social media platforms, sharing experiences and connecting with fellow coffee enthusiasts. They may follow influencers and celebrities endorsing Starbucks products, alongside consuming news, and entertainment content online and through traditional media channels.

2.1.2.2 Target Audience by Personas Method

Based on personal experience working in the company, the author of the thesis emphasizes that Starbucks also uses the persona method to understand its target audience better. This method refers to qualitative research methods. Its essence is to create persons that will be endowed with the characteristics of a particular group of the target audience (Revella, 2015). In the case of Starbucks, the target audience is divided into three personas based on behavioral characteristics: Traditionalist, Occasionalist, and Explorer.

- **Traditionalist** is a consumer who prefers traditional drink flavors but visits Starbucks once or twice a month.
- **Occasionalist** is a consumer who does not mind trying something new. A person visits Starbucks 1-2 times a year, but in the event of an exciting offer, a person can become a regular consumer.
- **Explorer** is a regular consumer who likes to try new drinks and explore new tastes.

For each new drink, one or more personas are identified that characterize the potential consumer. The selected personas also determine the sales growth strategy of the company.

2.2 Starbucks brand

In this section, the author examines Starbucks as a brand and, as an employee of the company, reveals in more detail the values and activities of the company that led Starbucks to global popularity.

Starbucks has solidified its position not only as a provider of premium coffee but also as a globally recognized brand distinguished by its core values. These values resonate with consumers worldwide, including a steadfast commitment to quality, sustainability, community engagement, and innovation.

Quality stands as a cornerstone of the Starbucks brand. Through meticulous sourcing and crafting processes, Starbucks ensures a consistently exceptional coffee experience, earning widespread acclaim for its dedication to excellence within the industry.

2.2.1 Brand values

Sustainability is one of fundamental pillars of the Starbucks brand (Starbucks Corporation, n.d.-a). Acknowledging its environmental responsibilities, Starbucks undertakes measures to minimize its ecological footprint and advocate for ethical practices across its supply chain. Initiatives such as ethically sourcing coffee and implementing waste reduction strategies underscore Starbucks' commitment to sustainability.

Community engagement forms an integral part of the Starbucks ethos. (Starbucks Corporation, n.d.-a) Starbucks locations serve as communal hubs, fostering connections and social interaction. Through initiatives like the Starbucks Foundation and volunteer programs, Starbucks actively contributes to the well-being of the communities it serves, fostering positive societal change.

The Coffee and Farmer Equity (C.A.F.E.) practices program epitomizes Starbucks' dedication to supporting coffee farmers (Starbucks Corporation, 2020). This program establishes ethical sourcing and environmental sustainability standards, ensuring fair compensation for farmers while providing them with resources to enhance their livelihoods and farming practices.

Innovation is deeply embedded in the Starbucks brand identity. Continuously introducing new products and pioneering technologies like mobile ordering, Starbucks remains at the forefront of customer experience enhancement, adapting to evolving market trends.

In essence, the Starbucks brand exudes warmth, authenticity, and connection. Starbucks customers trust the brand, which confirms the high level of customer loyalty. This robust brand identity has propelled Starbucks to become a cherished institution beloved by millions worldwide. Starbucks fosters a unique cafe culture emphasizing hospitality and personalized service, providing welcoming spaces for socializing and relaxation. As a vital aspect of the brand's identity, Starbucks aims to be customers' preferred "**third place**" beyond home and work, fostering meaningful human connections.

So, Starbucks epitomizes excellence in the coffee sector, driven by its enduring commitment to quality, sustainability, innovation, and community involvement. From its iconic Global City Mug collection to its pioneering Coffee and Farmer Equity (C.A.F.E.) Practices program, Starbucks continues to lead by example in ethical business practices while fostering meaningful relationships with customers worldwide. As a symbol of warmth, authenticity, and connection, Starbucks' ongoing success underscores its unwavering adherence to its core principles.

3 The concept for a new product

This chapter is devoted to creating a concept for a new product: generating and screening an idea, formulating the concept, and testing it on the target audience.

3.1 Idea generation

The new product idea that the thesis author presents in this section is based on an existing Starbucks product, the Starbucks City Mug. Therefore, before presenting his idea, the author presents the concept of the Starbucks City Mug, analyzing its sales and success through his personal experience and data provided by the company.

3.1.1 Starbucks City Mug

The Starbucks City Mug is a collection of mugs offered by Starbucks that celebrates the uniqueness of different cities worldwide. These mugs have become very popular collectibles among Starbucks enthusiasts and avid travelers.

The product is presented in the merch category. Each mug has a distinctive pattern or design element representing the city. These decorations may include famous landmarks, architectural icons, cultural symbols, or elements that reflect the city's rich history and heritage.

The Starbucks City Mug collection not only serves as a reminder of the cities customers have visited but also awakens curiosity and wanderlust, inspiring them to explore new destinations and cultures. As an employee of the company, the author notes that this has become a way for people to emphasize their love of travel and share their adventures with others by choosing these mugs as travel gifts.

Conducting a conversation with the brand manager of Starbucks of the Czech Republic, Michal Holotík, the author learned that these mugs are popular and have high sales in tourist cities worldwide. Therefore, in this thesis, the author takes the statistics obtained in the Czech Republic as the average sales statistics for a given product from the merchandise line.

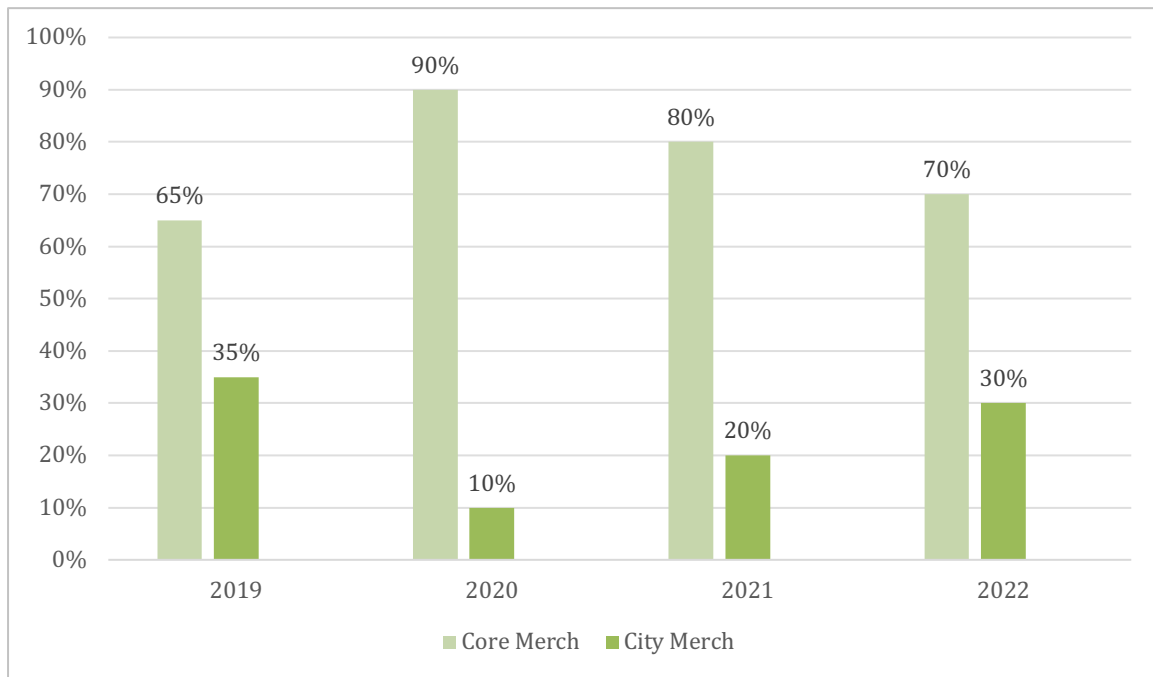


Figure 2 Sales comparison of Core merchandise and City merchandise, Starbucks Czech Republic (source: Starbucks Czech Republic data, author's calculation)

Figure two shows a graph showing sales of merchandise in the Czech Republic from 2019 to 2022. The graph shows that sales of the City Mug merchandise in the Czech Republic exceed sales of core merchandise. Core merchandise includes branded mugs, tumblers, and other products sold year-round and has no distinctive characteristics of the cities where they are sold.

The graph shows how during Covid in 2020, City Merch sales fell more than three times compared to 2019. We can conclude that sales of City Merch directly depend on the flow of tourists and they are the primary buyers of City Mugs. High sales during years 2019, 2022 indicate the demand for the product and the interest shown. In 2021, the tourist flow began to recover gradually, and City Merch sales doubled compared to 2020 and reached 20 percent, which is 1/5 of Core Merch sales. Comparing charts from different years also means that the percentage of product sales remains consistently high.

The author comes to the conclusion that Starbucks City Mags really arouse increased interest among customers; this is confirmed by the sales figures of City Merch, in comparison with the sales figures of Core Merch.

3.1.2 The idea for a new product

The idea introduced by the author entails merging Starbucks' successful city-themed mug concept with its core product, coffee. This new product offering aims to encapsulate specific cities' unique essence and cultural spirit.

The author's idea is to create a line of coffee drinks called "Taste of the Place" that sells worldwide. The uniqueness of the idea lies in the fact that every drink with the "Taste of the

Place" can only be tasted in that city. When creating drinks, the cultural characteristics and taste preferences of locals will be included in the concept. Suppose the selected city already has a developed coffee culture and traditions, then this will be considered when creating drinks and contribute to the further development of both the country's culture and the coffee culture.

Based on personal observations, the author of the thesis claims that in Prague, many tourists who visit Starbucks come to coffee shops specifically to buy a souvenir - Starbucks City Mug, without even buying food or drinks. The author further interviewed employees and ensured that this concept of souvenir mugs is so popular worldwide.

So, the author of the thesis decided to develop the idea and combine the "Taste of the Place" line of drinks with the concept of travel. Thus, this idea unites the desire to develop coffee culture and learn about the traditions of different countries through travel. The presence of such a product, even if not the main one in the Starbucks line, is an incentive to travel and visit new places.

3.2 Idea screening

For the idea screening, the author applies a method previously mentioned in subsection 1.2.2 called Idea screening. The author chose this method because, at this stage, it is suitable for screening the author's idea using available information resources and helps to structure the analysis.

3.2.1 R - Is it real?

Graphs presented in figures 2 and 3 show the sales UPH index of popular Starbucks drinks.

By analyzing such exclusive drinks presented by Starbucks, unique tastes and offers are very popular among customers, as shown by the percentage of sales. Thus, the famous drink from the autumn line, Pumpkin Spice Latte, is the absolute leader in the sales of autumn drinks. This coffee drink is made from a blend of traditional fall spice flavors. The UPH indicator - units per hundred transactions for this drink for 2019-2023 varies from 15 to 24 on the Czech market. This means that this drink accounts for a significant part of sales.

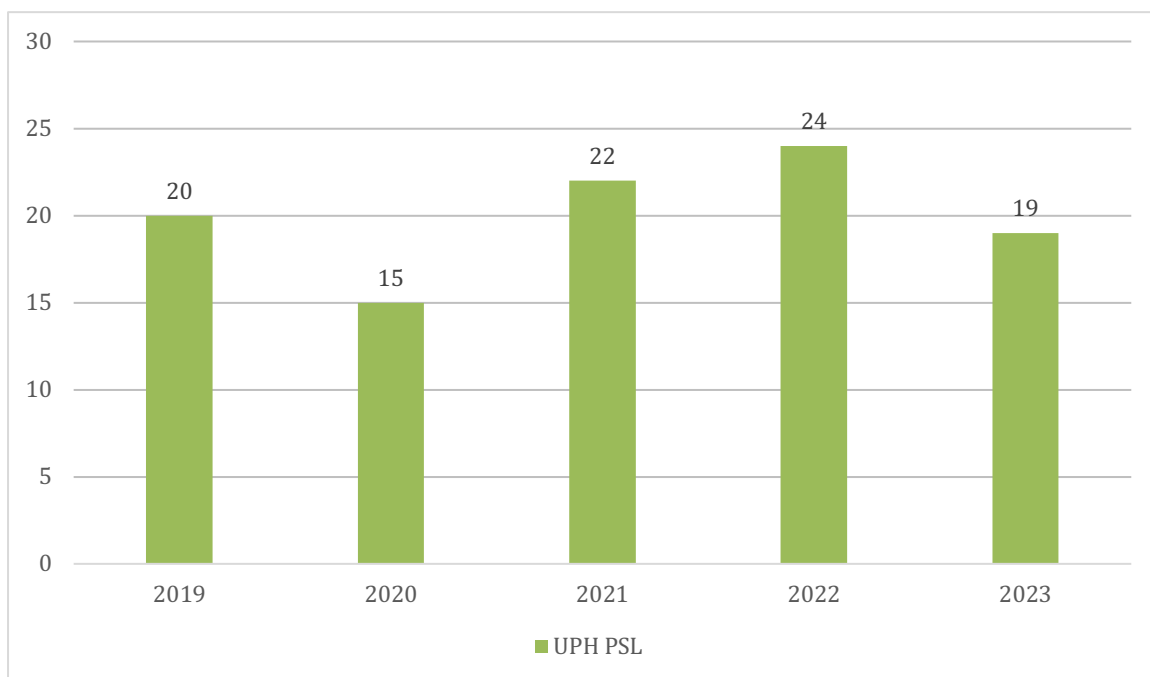


Figure 2 Pumpkin Spice Latte UPH, Starbucks Czech Republic (source: Starbucks Czech Republic data, author's calculation)

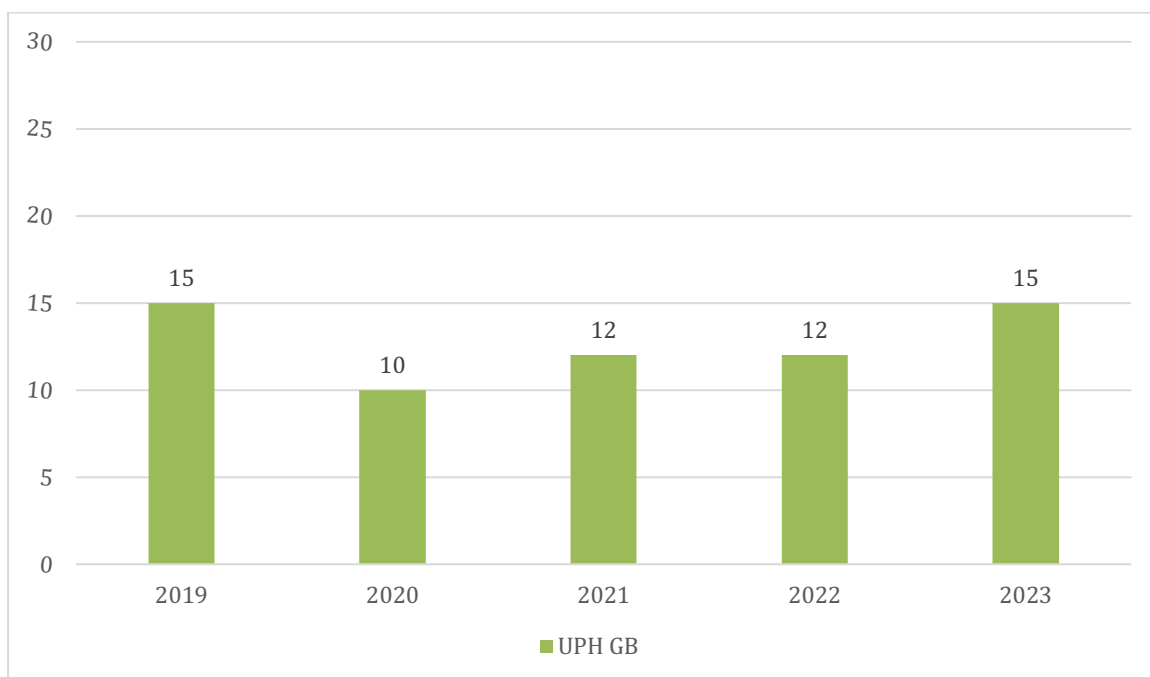


Figure 3 Gingerbread Latte UPH, Starbucks Czech Republic (source: Starbucks Czech Republic data, author's calculation)

A similar conclusion can be drawn when analyzing the UPH indicator on the Czech market of an exclusive drink from the winter product line - Gingerbread Latte. The graph shows that the UPH indicator for 2019-2023 varies from 10 to 15. Because there are dozens of items in the Starbucks product line, this is a very high indicator of demand for an exclusive product. It is worth noting that the demand for both drinks remains at approximately the same level from year to year, indicating an increased demand for limited coffee drinks compared to the core drinks line.

3.2.2 W - Can we win?

In the competitive environment of the global coffee industry, innovation is one of the methods to maintain market leadership and meet growing consumer preferences. The author analyzes the market to assess Starbucks's competitive position in the global market, identify possible similar products presented by competing companies, and determine the competitive benefit of the "Taste of the Place" drinks idea for a new Starbucks product.

In recent years, the global coffee market has grown strongly due to factors like growing consumer demand for quality coffee experiences, increasing café culture and increased urbanization. Starbucks operates in more than 80 countries and serves millions of customers every day as one of the world's largest coffee chains (*Starbucks*, n.d.; *Top Food and Drink Service Chains by Sales 2023*, n.d.).

Coffee chains competitors

Starbucks' competitors are a number of global coffee chains such as Costa Coffee, Dunkin Donuts and Tim Hortons. (*Who Are Starbucks' Main Competitors?*, n.d.) These competitors offer diverse beverage menus and have established a strong global presence. In addition, in markets where consumers value authenticity and local flavor, Starbucks faces competition from local coffee shops and independent cafés. During the analysis, the author of the work studied the menus of these coffee chains.

Having analyzed the drink lines of **Costa Coffee** and Starbucks, the author claims that in addition to the similar core drinks line, which includes classic coffee drinks such as cappuccino, latte, espresso, and others, the companies have similar lines of specialty drinks (Costa Coffee, n.d.). For example, a branded blended drink with a trademark, Starbucks Frappuccino, in coffee shops of the Costa chain is represented by an analog called Frappé. Refresha summer drinks, which also have the Starbucks trademark, also have their own analog in the Costa coffee chain called Refresher.

Based on the results of a comparison of the American coffee and donut company drink line **Dunkin' Donuts** and Starbucks, the author of the thesis concludes that Starbucks has a broader line of products. Starbucks drinks are also distinguished by their more professional presentation when it comes to their visual presentation on company websites. Of the exclusive line of drinks, Dunkin' Donuts only offers a Frappuccino analog, which they call Frappe (Dunkin' Donuts, n.d.).

The next competitor is **Tim Hortons**, a Canadian coffee chain. Having analyzed their line of drinks, the author of the thesis will conclude that it is similar to the line of the Costa

Coffee company. There are similar Frappé and Refresher drinks in the drink line they offer. An exclusive *drink* is the refreshing frozen blended drink made with berry puree called cooler (Tim Hortons Inc., n.d.). However, it also does not have a connection to traditions and is not an authentic drink in the brand's line of drinks.

To sum up, while Starbucks' competitors offer diverse beverage menus, there is a gap in the market for coffee chains that emphasize localized offerings. By leveraging its global presence and brand reputation, Starbucks can differentiate itself by offering beverages inspired by the distinct flavors of various cities.

The main fast food segment competitor

Starbucks's main competitor in the fast food chain market, which also includes Starbucks, is McDonald's (Hughes, 2022). McDonald's is focused on providing food in the low-price category, and Starbucks has a premium positioning and high-quality products. Despite the fact that their positioning is very different, with the advent of McCafe, McDonald's has become a direct competitor for Starbucks and, rapidly developing, occupies an increasingly large market share.

After analyzing the company's menu, the author of the work was convinced that in the coffee drinks segment, McCafe does not offer any unique drinks that are adapted to specific countries or cities (McDonald's, n.d.).

However, McDonald's already embraces the concept of tradition and diversity and regularly introduces new menu items that represent the cuisine of different countries. As an international company, they thereby bring together customers from all over the world. The duration of the release of such special offers on the menu indicates the good indicators the company receives from selling these products.

Thus, the creation of "Taste of the Place" coffee drinks line will be a competitive advantage in the fast-food segment.

Conclusion

Based on the market research findings, the introduction of the "Taste of the Place" concept holds significant potential for Starbucks to differentiate itself in the competitive coffee market. By offering beverages that capture the essence of different cities and cultures, Starbucks can cater to evolving consumer preferences and strengthen its position as a global leader in the coffee industry.

3.2.3 W - Is it worth doing?

Author's idea fully supports the Starbucks mission: "With every cup, with every conversation, with every community - we nurture the limitless possibilities of human connection" (Starbucks Corporation, n.d.-b).

The main product is a coffee drink prepared based on the traditions or taste preferences of a particular city or country. Thus, as mentioned earlier, this idea supports the company's desire to develop a coffee culture and increase communication between people,

communities, and, as a result, countries. Through travel and knowledge of the traditions of different cultures, the company will be able to fulfill its mission - “nurture the limitless possibilities of human connection.”

Screening conclusion

To summarize, since the author initially proposed only one idea, the author did not conduct ideas as expected but focused on determining the relevance of the idea described in the thesis. During Idea screening, the author analyzed Starbucks's unique offers and concluded that exclusive drinks are more popular among the company's products sold. Next, an analysis of the competition's proposal was carried out, which showed that developing the "Taste of the City" line of drinks would help the Starbucks company stand out since none of the competitors had implemented this drink concept. Finally, the author determined that the idea supports Starbucks' global mission and is consistent with the company's current strategy.

3.3 Concept development

3.3.1 Overview

Unlike traditional coffee beverages, Starbucks' new "Taste of the Place" drinks aspire to transcend conventional notions, striving to create unforgettable, city-inspired experiences. Drawing from the rich traditions of coffee consumption and the allure of long-distance travel, these drinks seek to transport customers to iconic cityscapes with each sip, evoking fond memories or igniting a desire to revisit these destinations.

Building upon the successful Starbucks Mug Global City collection, which celebrates urban aesthetics, the concept of "Taste of the Place" drinks represents a natural extension. It promises customers a novel and exhilarating experience, blending unique tastes, ingredients, and cultural traditions from specific cities and countries into delectable beverages.

Similar to how the Starbucks Mug Global City collection captures the essence of each city through design, the "Taste of the Place" drinks aim to evoke the essence through taste, appearance, and consumption culture. By thoughtfully selecting ingredients that mirror local culinary customs, popular preferences, and cultural nuances, Starbucks endeavors to transport customers across the globe with every sip.

These drinks are crafted to embody each city's unique flavors and culinary experiences, offering customers a journey of exploration through their taste buds.

The appeal of "Taste of the Place" drinks extends beyond existing Starbucks customers, attracting adventurous individuals seeking novel taste experiences. This concept aligns seamlessly with Starbucks' mission of excellence, innovation, and celebration of diverse cultures.

By offering beverages infused with the flavor of a place, Starbucks aims to provide customers with an exciting and memorable journey worldwide, all within the confines of their local Starbucks store. This innovation not only caters to customers' adventurous tastes but also reinforces Starbucks' brand identity as a champion of cultural exploration and flavor curation. Consequently, the proposed new product holds significant promise as a valuable addition to Starbucks' core drink lineup, complementing both its basic and seasonal offerings.

3.4 Concept testing - survey

To test the concept, the author conducted a survey at one of the Starbucks locations among customers who are the primary target audience of the concept. During the survey, three questions were asked: How attractive is the concept from 1 to 10? Does the concept encourage travel? Are you interested in learning about the coffee culture of other countries?

One hundred four respondents participated in the survey, 30 of whom live in the Czech Republic, and 74 are tourists. The tourists were representatives from European countries, Asia, America and the Middle East. Forty-eight respondents identified themselves as regular Starbucks customers.

Based on the survey results, it was found that on a scale from 1 to 10, where 10 is the best result, the concept's attractiveness was set at 8.8. 81% of respondents answered that they would try the drink. 72% responded that the concept stimulates their desire to travel. 68% of respondents claim they are interested in learning about the coffee culture of other countries.

4 Marketing strategy for a new product

To create a marketing strategy for a new product, it is necessary first to conduct a market analysis and then establish the target audience and suitable product positioning. The marketing mix also plays an essential role in strategy development. It provides a framework for developing and subsequently implementing an effective marketing strategy.

4.1 Market Analysis

Starbucks belongs to the food and drink service industry market. Starbucks' main products are coffee drinks. In addition, Starbucks also offers coffee beans and food products through its coffee shops and retail stores.

It is known that American quick service restaurant (QSR) companies often lead the food and beverage service industry (*Food & Drink Services*, n.d.). Starbucks, a major player in the coffee shop industry, has held the title of the world's largest coffee chain for an extended period. At the same time, the globally recognized QSR McDonald's consistently ranks high in industry standings.

The market size of the quick service restaurant industry is growing yearly, so in 2022, it amounted to 967.64 billion U.S. dollars, and in 2023, it had already 978.4 billion U.S. dollars (*Food & Drink Services*, n.d.).

The food service and coffee retail market is part of the broader food processing and fast food services market. In this market segment, Starbucks competes with other coffee chains, cafes, restaurants, supermarkets, and coffee brands that offer products to the home coffee market. As a coffee market leader, in 2023, Starbucks' net revenue reached 29.46 billion U.S. dollars (*Starbucks Revenue Worldwide 2023*, n.d.).

Speaking of unique drinks, sales of Pumpkin Spice Latte, which was discussed earlier in Chapter 3.2.1.1, exceeded 800 million U.S. in 2023. dollars (Ventura, 2023).

Starbucks faces competition from various sources, including other coffee chains such as Dunkin', Costa Coffee, and Tim Hortons, as well as independent cafes and specialty roasters (*Who Are Starbucks' Main Competitors?*, n.d.). The author analyzed the company's global competitors in more detail in Chapter 3.2.1.1. The analysis showed that any of the competitors do not represent drinks with a similar "Taste of the Place" concept.

Based on the idea screening carried out in Chapter 3.2, Concept testing carried out in Chapter 3.2.2, and this market analysis, it can be assumed that "Taste of the Place" drinks, having a unique concept similar in authenticity to Pumpkin Spice Latte, and the interest of the target audience, **will be successful if they will reach even 10% percent of the Pumpkin spice latte sales, representing 80 million USD.** Further calculations must

be made in the fifth stage of the new product development process – business analysis, which the author does not consider in the thesis.

4.2 Target audience

The target audience for this concept comprises existing and potential Starbucks clients with high to average income, education level, and a penchant for travel and exploration. These individuals seek quality experiences both domestically and internationally, finding comfort and familiarity in Starbucks' consistent service and product. The author does not consider it necessary to attach an age reference since people of different ages can possess these qualities. In addition, Starbucks also does not define age in its segmentation of the existing target audience.

According to the persona method, which was mentioned in subsubsection 2.1.2.2, the author defines potential consumers as an association of Occasionalists represented by locals and Explorers represented by tourists. "Taste of the Place" drinks, being a unique and authentic product, can become a reason for visiting Starbucks outlets for both residents, attracting them with their concept and motivating tourists to learn the new taste and traditions of the city.

4.3 Product positioning

The author proposes this positioning statement: "For Starbucks' loyal travelers who trust the brand and seek novel experiences, "Taste of the Place" beverages offer a unique opportunity to discover new flavors and emotions. Exclusively available at Starbucks locations where the taste is crafted, these coffee drinks enrich the journey, providing a distinctive taste of each locale and reinforcing Starbucks' commitment to authentic experiences."

This positioning statement effectively highlights the value proposition of Starbucks' "Taste of the Place" drinks for their loyal travelers. Emphasizing the brand's commitment to authenticity and the pursuit of novel experiences appeals to customers who prioritize trust and exploration in their coffee choices. The statement also underscores the exclusivity of the beverages, linking their availability to specific Starbucks locations where the taste is carefully curated, thereby enhancing their desirability, and reinforcing Starbucks' reputation for quality and craftsmanship. Overall, this positioning statement effectively communicates the unique selling points of "Taste of the Place" drinks and their role in enhancing the overall Starbucks experience for travelers.

4.4 Marketing goals

This chapter presents a proposal outlining a marketing goal aimed at extending cultural integration globally for Starbucks. The objective is to position Starbucks as a unifying force

across diverse cultures and nations, with a primary focus on attracting new customers while enhancing loyalty among existing patrons. Drawing inspiration from markets like Japan, this proposal emphasizes leveraging cultural insights to drive product innovation and deepen customer engagement.

4.4.1 New product marketing goals

Over the span of 50 years, Starbucks has seamlessly integrated into the fabric of American culture. It's time to extend this cultural integration globally, making Starbucks a unifying force across every nation and fostering a sense of unity amidst diverse cultures.

The primary goal is twofold: to attract new customers and enhance the loyalty of existing patrons.

According to the findings outlined in section 3.2, it can be concluded that the new product has the potential to achieve the stated objective.

Take Japan as a compelling example: with its dense population, the proliferation of Starbucks outlets indicates the brand's ability to cultivate a consumer culture by sharing knowledge about coffee from around the world.

Japanese culture is renowned for its meticulous learning approach and unique philosophy. Drawing inspiration from this ethos, the author approached the creation of a new product idea with the same level of dedication. In Japanese marketing, there's an emphasis on aligning the manufacturer's feelings with the consumer's desires, serving them through goods and services. This holistic approach ensures that the product meets the consumer's needs seamlessly. The product emerges organically when there's already a demand for it, reflecting a comprehensive and global perspective.

Thus, the brand's overarching goal is to explore the boundless possibilities of human connection. Additionally, the creation of this new product line aims to inspire customers to delve into other cultures and traditions through travel.

Testing in section 3.4 also showed that the concept of the new product stimulates the desire to travel and, as a result, to learn about new cultures and coffee traditions.

Ultimately, the global goal of this concept is to foster cultural unity worldwide through the shared experiences and connections facilitated by Starbucks.

4.4.2 PACT goal

The author chooses the PACT method for setting marketing goals to establish the goal because it is better suited for defining long-term and ambitious objectives.

PACT Goal: Introducing a New Cultural Coffee Experience.

Project: Launching a new product line at Starbucks that celebrates diverse cultures and traditions through unique coffee blends and experiences.

Purpose: Enhance customer engagement and loyalty by offering a culturally immersive coffee experience that resonates with Starbucks' global audience.

Approach: Collaborate with coffee experts, cultural specialists, and marketing professionals to research, develop, and launch culturally inspired coffee blends. Utilize existing resources and partnerships within Starbucks to ensure seamless implementation.

Criteria:

1. **Product Development:** Develop a range of culturally inspired coffee blends that authentically reflect the diverse tastes and traditions of different regions around the world.
2. **Marketing Strategy:** Create a comprehensive marketing strategy highlighting the cultural significance and unique features of the new product line, targeting both existing and potential customers.
3. **Customer Engagement:** Implement feedback mechanisms to gather insights from customers regarding their experiences with the new product line. Monitor customer feedback and adjust marketing strategies accordingly to optimize customer engagement.

Timeline: As this project represents a concept for a new product and marketing strategy, the timeline for development and launch will be determined based on further research and feasibility assessments.

By adhering to the PACT goal, the author strives to lay the foundation for successfully introducing a new cultural coffee experience at Starbucks, increasing customer engagement and loyalty, while celebrating diversity and cultural acceptance.

4.5 Marketing Mix

By incorporating the marketing mix into the marketing strategy for a new product, companies can ensure a comprehensive and cohesive approach to launching and promoting the product effectively in the marketplace. Each element of the marketing mix should be carefully aligned with the overall marketing objectives and target audience preferences to maximize the product's success.

4.5.1 Product

The product is coffee drinks with the "Taste of the Place". A place denotes a connection with a geographical location - the Taste of Tokyo, the Taste of Ethiopia, the Taste of Tibet, the Taste of Como.

Suppose there is a coffee culture in a given place. In that case, the drinks' flavors are developed by considering the traditions of preparing coffee drinks in the given area, place, and method of preparation. For example, the coffee culture in Japan is as rich as the

country's tea culture. There, a well-known method of brewing coffee - pour-over - was invented; in addition, the Japanese have a unique approach to making coffee; they approach the process measuredly and enjoy every moment, which is a cultural feature of the country. These aspects can form the basis for the preparation and presentation of drinks with the Taste of Place in Japan.

In the case of places where there is no historical coffee culture, the flavors of the drinks will be chosen based on the residents' preferences, that is, from the drinks and flavors that are most popular in that place. So, for example, based on personal observations of sales in the tourist location of Starbucks in Prague, the thesis author gives an example that the favorite drink of Chinese tourists is a cold Americano, representatives of Middle Eastern countries prefer Mocha, and Indians prefer Chai Latte. Moreover, the taste can be inspired by the country's culture. For example, a Rio de Janeiro-inspired beverage could incorporate tropical fruits such as pineapple and passion fruit, encapsulating the zest and energy of Brazilian culture.

4.5.2 Price

The author considers it necessary to comply with the company's pricing policy. Prices for different categories of goods in the company are determined in advance. The author can assume that "Taste of the Place" drinks can fall into the same price category as seasonal drinks, such as Pumpkin Spice Latte and Gingerbread Latte.

It is assumed that ingredients will be used, the production of which is already carried out by the company. If additional ingredients need to be created, the price will be relatively similar to that of other specialty drinks.

In addition, the author emphasizes that the final cost of the drink will be calculated based on its composition and necessary ingredients. Therefore, it is impossible to provide an overview of prices for drinks included in the "Taste of the Place" line at this concept-development stage.

4.5.3 Place

The points of sale of the product are coffee shops of the Starbucks chain.

To introduce the concept to the market, the thesis author suggests choosing the following countries: Indonesia as a coffee-producing country, Holland and Turkey as countries representing the European market, and Japan and Vietnam as the Asian market.

The author selected these countries based on tourist activity, the position of Starbucks in the country's market, and the presence of the country's unique coffee culture. The author proposes to present the first "Taste of the Place" drinks in the cities of the listed countries: Jakarta, Amsterdam, Istanbul, Tokyo, and Hanoi. Each of the listed cities is a large transport hub, which determines a constant large flow of tourists and, as a result, potential consumers of drinks.

Speaking about the company's values, the author mentioned that Starbucks supports coffee-producing countries and therefore considered it necessary to include such a country in the project's starting locations. Thus, the company will be able to tell customers more about the coffee traditions of the country where coffee is grown for the entire Starbucks chain of coffee shops.

Residents of Amsterdam and Istanbul are also prominent representatives of coffee culture. Many people have heard about Dutch and Turkish coffee, but only some know the traditions and rituals of coffee making. Tokyo's civilization and Hanoi's exoticism show the contrast between Asian countries. Moreover, the coffee culture of these countries is rich and exciting, dating back to the 19th century.

4.5.4 Promotion

This chapter presents key messages and slogan proposed by the author of the thesis for the concept of the "Taste of the Place" line of coffee drinks.

- **Key message**

The author's key message supports the project's global goal - Uniting cultures around the world through Starbucks: "Experience the world with Starbucks." This message underscores the project's global ambitions to promote cultural exchange and understanding through Starbucks coffee shops worldwide, providing customers with a rich experience beyond simply drinking coffee.

Another interpretation of the key message:

"Taste the World with Starbucks" highlights the project's goal of introducing customers to various flavors and culinary traditions from different regions, transforming Starbucks into a destination for global gastronomic exploration.

Both key messages call for bringing cultures together under the Starbucks brand, creating a sense of global community and connection through shared experiences and traditions.

The author suggests using the slogan "Travel with Starbucks" in marketing communications. It brings together two key messages and will help integrate Starbucks into cultures worldwide, allowing customers to immerse themselves in diverse cultural traditions and experiences through coffee exploration.

The key message and proposed slogan together reflect the company's vision of Starbucks as more than just a coffee chain but as a gateway to cultural discovery and connection on a global scale.

- **Communication channels**

Starbucks employs a diverse range of communication channels, including social media platforms, its official website, mobile app, email marketing, in-store signage, and traditional advertising, to effectively engage with its audience. The concept assumes the use of the same communication channels to connect with our customers, ensuring consistent and impactful

messaging across all touchpoints to strengthen our brand presence and foster meaningful connections.

Moreover, the suggested concept for Starbucks introduces a fresh strategy for communication and brand promotion, proposing utilizing major transportation infrastructures as effective platforms for disseminating brand messages. Since the target audience of the concept is travelers, this channel will be an effective means of communication.

Hence, it is imperative to incorporate contemporary communication tools such as the Internet alongside traditional modes of transportation like transcontinental flights, aviation, steamships, trains, and automobiles. These historical pathways remain integral as primary modes of transportation, ensuring a comprehensive approach to reaching diverse audiences.

By leveraging vehicles as a promotional platform, Starbucks can cultivate a consistent presence in consumers' lives throughout their journeys. This innovative approach offers novel opportunities to bolster Starbucks' global leadership in the coffee industry and establish the brand as an indispensable part of customers' travel and cultural experiences worldwide.

For effective strategy implementation, advertisements can be strategically placed at various transportation hubs, including gas stations, train stations, and airports, and on vehicles, such as trains and airplanes. This strategic placement ensures maximum visibility and engagement with travelers, enriching their journey with memorable Starbucks experiences.

Particular attention should also be paid to in-store signage, namely the drinks presentation on the menu board. Based on the author's three-year experience working in the company and sales observation, the author claims that drinks that are specifically advertised on the menu board - presented there visually and separately from the main menu - have high sales. Since customers, especially tourists, often find it challenging to navigate the extensive Starbucks menu, thanks to the design of the menu board, it becomes possible to regulate sales, increase drinks sales, place their image in prominent places, and even use minimal graphic elements.

In summary, the proposal to integrate major transportation channels into Starbucks' communication and brand promotion strategy holds significant potential for enhancing brand awareness and fostering meaningful connections with customers on a global scale.

- **Creative elements**

The author suggests using bright, creative elements inspired by diverse cultures and nature in different parts of the world to promote the concept. Rich colors, traditional patterns and prints, and travel imagery create a positive impression and encourage adventure. The visual of each drink can include unique features of a country, city, or place, from traditional costumes to characteristic methods of preparing coffee. Returning to traditional values and forgotten content gives the new concept authenticity and appeal, and the visual images fill

it with energy and liveliness, showing the distinctive features of the places that tourists can visit. For people living in these places, this will be a sign of respect for their culture.

Conclusions

Bachelor thesis is devoted to creating the concept of a new product and its marketing strategy for the Starbucks company.

In the theoretical part, the author presented the basic marketing theory, including international marketing. Further, in the theoretical part of the thesis, the theory of the new product development process was presented, and the first four steps of the process were described in detail: idea generation, idea screening, concept development and testing, and marketing strategy development. Particular attention was paid to the marketing strategy theory; the author examined different segmentation, targeting, and positioning approaches. The author also presented the marketing mix theory as an integral part of the marketing strategy. At the end of the theoretical part, goal-setting methods were presented.

Basic information about the company is presented at the beginning of the practical part. The author of the thesis also described Starbucks as a brand through the personal experience, revealing the company's values. The main part was devoted to the formulation of the idea, its testing, and the subsequent creation of the concept of a new product. In the next stage of the practical part of the thesis, the author tested the concept, developed a marketing strategy and mix, and determined the new concept marketing goals.

Main goals achievement

The main goal of this paper lies in creating a concept for a new product and a marketing strategy for its eventual release.

Before creating the main concept, the author analyzed the sales of Starbucks City Mug, which inspired the author's idea. The analysis showed increased demand for this concept of goods with a distinctive feature. Namely, the unique design of mugs corresponds to the city in which they are sold. Next, the author's idea was formulated to create a line of coffee drinks called "Taste of the Place", which will take into account the locals' cultural characteristics, taste preferences, and coffee traditions. Its uniqueness lies in the fact that coffee drinks with the "Taste of the Place" can only be tasted in this very city and country. Thus, the idea unites the desire to understand different cities and countries' coffee culture and traditions through travel.

Based on the theory presented in the thesis, idea screening was conducted. Screening showed that, based on Starbucks sales statistics, limited drinks with a unique recipe are in high demand among consumers, and their sales take up most of all company sales during the season when these drinks are presented in the product line. In addition, after analyzing competition in the global market, the author found that none of the competitors offers a similar product in the line of drinks. Creating such a line of drinks can be a competitive

advantage. The idea's correspondence with the company's values and mission also confirmed that the idea fit the overall company strategy.

In the next stage of the practical part, the product concept was formulated, emphasizing that for the client, "Taste of the Place" drinks will bring an exhilarating experience through unique tastes and introduce them to coffee traditions and culture. The drinks are aimed not only at enhancing the traveler's experience but also at maintaining the traditions of the locals.

The author tested the concept using a survey of the target audience. One hundred four people participated in the survey, including Starbucks visitors: tourists from different countries, Czechs as residents, and regular customers. Testing showed the potential target audience's interest in the concept presented by the author.

An essential part of the work was creating a marketing strategy for a new product. After analyzing the Starbucks company, the author concluded that in order to maintain its position in a competitive market, the company needs to focus on three areas: expanding into new markets, increasing customer loyalty through appropriate programs and introducing new products to the market.

Using the existing segmentation of the company, the author analyzed the company's target audience and identified the target audience for a new product concept- the "Taste of the Place" beverage line. The project's target audience is existing clients of the Starbucks coffee shop chain or potentially new clients - men and women, students, employees, and professionals with high or average earnings, education, and a desire to travel and learn new things. The author also used Starbucks's persona method to describe its customers. Thus, the target audience of the company's existing customers combines both Occasionalist and Explorer personas. Occasionalists are Starbucks customers who are rare visitors to coffee shops, but interesting seasonal drinks and flavors always attract them and encourage them to visit Starbucks. Explorers are loyal Starbucks customers who like to try new flavors and drinks.

The author established the main marketing goal of the new product - attracting new customers and enhancing the loyalty of existing patrons. Next, the author developed a marketing mix that includes a line of Taste of the City drinks. The author selected communication channels are outdoor advertising, social networks, and retail outlets. A feature of the concept promotion is the placement of an advertising message using the slogan "Travel with Starbucks" in transport infrastructure nodes and the vehicles themselves: in airports and airplanes, stations and trains, ports and maritime transport, and at gas stations on famous highways.

Thus, the author of the thesis fulfilled the main goal of the work - creating a product concept and a marketing strategy for the product possible implementation.

Overall assessment

The author of the thesis managed to create a unique concept and follow a marketing strategy for a new product that supports the overall mission of Starbucks company. Of course, to successfully bring the product to market, the concept requires further development. It is also necessary to complete the following stages of creating a new product: business analysis, product development, test marketing, and commercialization.

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